

Momentum was high enough so that the next day, price rose even further before closing lower. With the second peak, a tentative trendline drawn along the tops of the formation sloped upward and gave character to the broadening formation.

The stock moved rapidly back down even as volume increased. This decline stopped before it reached the lower trendline, signaling continued buying pressure. Price pushed higher and reached a new high, this one at 15.50 on 6 May. The up-sloping trendline resistance area repelled any further advance (or so I like to think). The stock simply did not have enough upward momentum to push through the selling pressure at the new level.



Figure 9.2 Price pulls back to the base of the formation. Pullbacks occur often in ascending broadening formations.

The next day volume dried up, but there was enough momentum remaining for another try at the summit. When the attempt failed, the smart money headed back to base camp and volume receded further. As price collapsed, other investors joined in the retreat and volume moved up. In less than 2 weeks, price was back at the lower trendline.